

Session 3.1: Platform Envelopment Attacks

Cross-market feature bundling, overlapping user bases, and Microsoft Teams vs. Slack.

PART 1 (LECTURE)
60 Minutes

PART 2 (LAB PRACTICE)
60 Minutes

PART 3 (EXECUTIVE MEMO)
60 Minutes

STANDARD
Audited SEC Filings

Learning Objectives & Executive Overview

Clear conceptual grounding for undergraduate and graduate business students.

CORE COMPETENCIES

Goals

What You Will Master Today

- **Theoretical Mastery:** Evaluate seminal literature and analytical frameworks governing platform competition.
- **Empirical Rigor:** Reconcile management strategic claims with legally audited statutory filings.
- **Data Modeling:** Execute spreadsheet calculations with explicit coordinates and formula logic.
- **Executive Formulation:** Deliver structured board-level recommendations resolving complex trade-offs.

ENVELOPMENT THEORY

Vocabulary

Key Topical Foundations

- **Eisenmann, Parker, Van Alstyne::** Platform envelopment mechanisms (2011).
- **Shared User Relationships::** Entering adjacent markets using existing customer base.
- **Zero Marginal CAC::** Bundling complementary software into enterprise licenses.
- **Micro-Examples::** Browser wars (Windows/IE), ^{Uber Eats} Uber Eats"> Uber Eats,  Apple Pay.

Theoretical Foundations: Envelopment Theory

Rigorous analytical frameworks and literature benchmarks.

THEORETICAL ARCHITECTURE

Literature

Seminal Framework Insights

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STRATEGIC APPLICATION

Analysis

Business Model Mechanics

- *Standalone Leader::* Slack pioneered enterprise collaboration software.
- *Ecosystem Envelopment::*  Microsoft bundled Teams into Office 365 for free.
- *Scale Shock::* Teams passed 100M DAUs; Slack S&M intensity stayed >50%.
- *M&A Outcome::* Slack agreed to be acquired by Salesforce for \$27.7B.

STRATEGIC TAKEAWAY

Cross-market feature bundling, overlapping user bases, and Microsoft Teams vs. Slack.

Seminal Literature & Economic Mechanics

Governing economic dynamics, externalities, and platform governance models.

ECONOMIC EXTERNALITY

Model

Network Externalities & Market Tipping

- **Positive Feedback Loops:** Adoption utility accelerates quadratically as the complementary user base expands.
- **Two-Sided Subsidization:** Balancing prices between money-side and subsidy-side to catalyze cross-network participation.
- **Multi-Homing Frictions:** Users and suppliers incurring setup and cognitive costs when operating across competing platforms.
- **Governance Standards:** Programmatic rules and interface contracts mitigating opportunistic market behavior.

STRATEGIC LEVER

Ecosystem Dynamics

Platform Architecture Mechanics

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Strategic Showdown: Incumbent Architecture vs. Platform Ecosystem

Contrasting capital-intensive linear controls with scalable ecosystem orchestration.

LINEAR INCUMBENT MODEL

Physical Pipeline

Controlled Capacity & Heavy CapEx

- **Proprietary Asset Ownership:** Firms fund physical plant, equipment, and inventories directly on balance sheet.
- **Gatekeeper Curation:** Central corporate management manually selects products, vendors, and services.
- **Supply Chain Bottlenecks:** Expansion speed is strictly constrained by capital expenditure budgets and construction lead time.
- **Linear Economics:** Revenue growth requires proportional expansion in headcount and physical fixed assets.

PLATFORM ECOSYSTEM MODEL

Software Orchestrator

Algorithmic Matching & Asset-Light Scale

- **Externalized Production:** Community participants supply physical capital, labor, and distributed inventory.
- **Algorithmic Governance:** Two-way reputation systems and automated matching replace physical gatekeepers.
- **Zero Marginal Cost Expansion:** Adding new marketplace participants requires lines of code rather than land acquisition.
- **Exponential Leverage:** Transaction volume accelerates rapidly while corporate headcount remains tightly bounded.

CORE STRATEGIC DISPARITY

Pipelines compete by optimizing internal operations and erecting proprietary barriers. Platforms compete by orchestrating external ecosystems and minimizing friction across bilateral exchanges.

Case Showdown: Teams vs. Slack

Historical case evidence and multi-year corporate trajectory confrontation.

CORPORATE DYNAMICS

Timeline & Strategy

Strategic Positioning

- Standalone Leader::** Slack pioneered enterprise collaboration software.
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ANALYTICAL FINDINGS

Empirical Evidence

Operational & Financial Results

- Comparative Dataset::** Slack Technologies vs.  Microsoft Productivity financials.
- Slack S&M Intensity::** Sales & Marketing / Revenue (=D2/C2*100).
- Microsoft Segment Margin::** Productivity Operating Margin (=E5/C5*100).
- Financial Asymmetry::** Slack S&M was ~50% of revenue while MSFT margin > 40%.

AUDITED CASE CONCLUSION

Cross-market feature bundling, overlapping user bases, and Microsoft Teams vs. Slack.

Executive Dilemma: Executive Lab

Framing complex management dilemmas and evaluating corporate trade-offs.

EXECUTIVE CHALLENGE

Strategic Tension

Corporate Strategic Tension

- *CSO Strategic Defense::* Evaluating Slack defensive options in 2018.
- *Three Options::* Product differentiation vs. open alliance vs. sale to platform.
- *Salesforce Justification::* Economic rationale for why selling was the right choice.
- *Executive Memo::* Defensive playbook for standalone software apps.

EVALUATION RUBRIC

Requirements

Board-Level Deliverable

- *Actionable Recommendation:* Formulate a concrete 3-bullet decision brief for senior leadership.
- *Quantitative Defense:* Support recommendations using audited financial metrics from the lab spreadsheet.
- *Risk Mitigation:* Address channel friction, partner resistance, or competitive retaliation.
- *Implementation Timeline:* Define immediate 90-day execution milestones.

Lab Transition: 120-Minute Hands-On Execution

Transitioning from lecture observation to hands-on data manipulation and strategic decision-making.

EXERCISE 1: FOUNDATIONAL PRACTICE

60 Min Lab

Applied Excel Lab

Hands-on spreadsheet protocol using audited historical numbers:

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EXERCISE 2+: ADVANCED PROBLEM SOLVING

60 Min Memo

Executive Lab

Applied scenario analysis, trade-off evaluation, and executive brief:

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